

Chandra Prakash Gupta v. State of U.P. & 3 Others

Allahabad High Court · Division Bench · 23 January 2014 · WRIT - C No. 4606 of 2014 · **Writ petition disposed of (auction-purchaser may apply on furnishing a No-Dues Certificate)**

HEADNOTE

The pre-2005 rule that, absent any statutory provision, an auction-purchaser applying for a fresh connection cannot be fastened with the previous owner's electricity dues (*Ahmedabad Electricity Co. v. Gujarat Inns*, 2004) is displaced by Clause 4.1 of the U.P. Electricity Supply Code, 2005, promulgated after 2004, which now statutorily bars a new connection on premises with arrears unless a No-Dues Certificate is furnished. A SARFAESI auction-purchaser must therefore obtain a No-Dues Certificate before a fresh connection is released.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.1

Auction-purchaser and arrears — the Code as the missing statutory provision

QUESTION

Does the pre-Code rule exempting an auction-purchaser from a previous owner's dues survive the introduction of Clause 4.1 of the 2005 Code?

HOLDING

No. *Ahmedabad Electricity Co. v. Gujarat Inns* turned on the absence of a statutory provision; Clause 4.1 of the 2005 Code (promulgated after that 2004 decision) now supplies one, requiring a No-Dues Certificate before a fresh connection on premises where ownership has changed and arrears exist. A SARFAESI auction-purchaser is bound by it and may obtain a connection only on furnishing a No-Dues Certificate. ¶ 1-3

LIMITING FACTS

The petitioner was an auction-purchaser under the SARFAESI Act from the State Bank of India, seeking a fresh domestic connection and claiming no liability for the erstwhile owner's dues.

PRINCIPLE TAGS

arrears-run-with-the-premises

The 2005 Code creates the statutory charge that the pre-Code case law lacked: an auction-purchaser cannot escape the previous owner's arrears and must furnish a No-Dues Certificate for a fresh connection. Lead authorities: *Ahmedabad Electricity Co. Ltd. v. Gujarat Inns Pvt. Ltd.* [28246]. ¶ 2-3

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Ahmedabad Electricity Co. Ltd. v. Gujarat Inns Pvt. Ltd. & Ors.</i> AIR 2004 SC 2171 [28246] Supreme Court (Three-Judge Bench)	In the absence of any statutory provision, an auction-purchaser applying for a fresh connection cannot be fastened with the previous owner's electricity dues, and a fresh connection cannot be denied on that ground.	Distinguished — held inapplicable after Clause 4.1 of the 2005 Code supplied the statutory provision it presupposed to be absent. ¶ 2-3	Petitioner	Distinguished